jewellery during the run.) Though deposits declined from ₹88 lakhs to ₹41 lakhs in less than twelve days, the psychological effect of Sir Pherozeshah's gesture was to ease the strain on the bank. His title deeds could at best have raised only a fraction of the money needed, but it was seen as a confidence-building gesture by the public. The pressure declined and there was no need to avail of the Directors' generosity. In another confidence-building gesture the Central Bank had notified that they would continue to pay out money to their depositors even on a Sunday.[13]

Two factors can be said to have saved the Central Bank: Sir Pherozeshah Mehta's and other Directors' public expression of confidence in Sorabji; and the soundness of the bank's general policy of avoiding any kind of speculative dealing. Aware of the need for safety, in 1912, the Board of Directors had stipulated that the limit of advances against securities where property was the only substantial security should not exceed 50 percent of the total paid-up capital of the bank from time to time.[14] It was a triumph for both Sorabji and swadeshi but the laconic reference to what happened in the Minutes of the Board of Directors hardly gives any indications of the severity of the crisis: 'The Manager reported that to meet the unexpected run on the bank owing to the failures of the Credit Bank and the People's Bank, he had arranged for ₹6,75,000 from the Bank of Bombay against Municipal and Port Trust Bonds.'[15] Banks depend for their stability on mass opinion to such an extent that they have more cause to fear misfortune and malicious rumours than other enterprises. Yet, as Muranjan observes, 'examples of failure due to circumstances outside the sphere of a bank's management are hard to find. A tinge of imprudence, if not positive dereliction of duty, is always present in every disaster'.[16]

Sorabji was well aware of the volatility of the depositors' temperament and their proclivity for believing any rumour, no matter how far-fetched. He knew how initial doubt could escalate into panic, a panic which had been the undoing of many institutions. In this the indigenous banks were at a great disadvantage because they did not command the ample resources which foreign banks did in the country of their origin, and which enabled them to overcome their problems with relative ease. This also explains Sorabji's own policy of maintaining a far greater liquid position than necessary, a policy which he persisted with even if it was sometimes disadvantageous to the bank's interests.